

e-commerce platform. The seamless integration between RRL's PoS machines and the JioMart app ensures a steady flow of orders from surrounding localities, boosting Chaddha's revenues. "The model that Reliance is building by partnering with local *kiranas* is phenomenal. In India, there are millions of such *kiranas* selling every item that consumers need. So, instead of trying to replace them with branded stores, RIL is utilising these existing outlets through tie-ups. This is like taking the [branded] store format to the nooks and corners of the country," says Deven Choksey, Promoter of KRChoksey Group.

This connect that RRL has created is helping it turbocharge its growth. India's largest modern retail chain operator—with under a dozen different branded chains under its fold coupled with thousands of retail partners—is like no other. From *kiranas* to the large-format Reliance Fresh and Smart Bazaar to Reliance Digital and Trends, RRL has built a powerful presence across the retail space, including a network of over 17,000 branded outlets across categories. But beneath this network of glitzy large-format stores—which sell everything from daily staples to lingerie—lies an intricate web of moving parts straddling retail, distribution and a wide supply chain network. And the tale doesn't just stop there, as its roots go deeper into RIL's other businesses in the form of telecom, microfinance and other offerings.

RRL'S FOCUS on expanding its presence in the general trade segment—encompassing the traditional distribution channel of wholesalers, distributors and retailers—is a relatively

new exercise. However, its pace of growth is unprecedented. While the retail giant had ventured into e-commerce only in early-2020 with the launch of JioMart, thus far it has on-boarded nearly 3 million *kirana* merchants. "We add about 150,000 partners a month and are on course to [reach] one crore [10 million] merchants as we expand our presence to cover the entire country, and serve over 7,500 towns and over 500,000 villages in the next five years," said Isha Ambani, Executive Director of Reliance Retail Ventures Ltd (RRVL), during parent company RIL's annual general meeting in August 2022. RRVL is the parent company of RRL.

In Q3FY23, Reliance Retail reported net revenues of ₹60,096 crore, up 19 per cent year-on-year (see 'Making of a Behemoth'). While its consumer electronics business, Reliance Digital, registered 45 per cent growth YoY, it was the grocery business that drove its top line the most. "Grocery was the business that really led the growth... 65 per cent on YoY basis. The business delivered well-rounded growth across fruits and vegetables, staples, packaged foods and home & personal care categories," said Gaurav Jain, Head of Strategy and Business Development at RRL, in a post-earnings call.

A report by Swiss investment bank UBS credits RRL's recent success to its aggressive bid to establish itself in the general trade segment. "Grocery new commerce revenue growth was driven by merchant onboarding and strengthened supply chain (added 11 new fulfilment centres)," the report noted, adding that current store count and area are up 20 per cent and 51 per cent YoY, respectively, as 789 stores (6 million sq. ft) were added during the quar-

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Reliance Retail Limited, the country's largest retail company, is aiming to alter the traditional distribution model like never before



By directly partnering with local merchants and building an efficient supply chain, Mukesh Ambani is turning his branded retail empire into an all-round retail solution for every stakeholder



Armed with an in-house NBFC, RRL is expected to have overcome the biggest barrier—credit availability for small-scale retailers—in mastering the general trade segment



With its newly launched FMCG venture, RRL is quickly building a strong array of privately owned labels that will improve its profitability



Creating pull for its in-house consumer brands and turning them into household names, however, remains a challenge for the group